

Retirement Planning for a Changing Market

As financial markets become increasingly volatile, investors must contend with the possibility of record high markets and corrections of 20% or more in the same year. This changing environment requires a rethink of retirement planning. In such conditions, mutual funds are likely to play an important role because they offer investment solutions tailored to an individual's age, financial goals and risk tolerance.

For decades, retirement planning followed a simple formula—start investing early through SIPs, remain invested over the long-term and allow compounding to build a retirement corpus. The strategy worked well during a period marked by declining interest rates, strong equity-market returns and moderate inflation. While these principles remain relevant, the retirement landscape has become more challenging. People are living longer, healthcare costs are rising, and inflation continues to erode purchasing power. At the same time, market volatility has increased. The challenge is no longer merely accumulating wealth, but ensuring savings generate sustainable income throughout retirement, which may last 25-30 years or more.

Mutual funds remain among the most effective vehicles for retirement planning. They offer diversification, professional management and access to a wide range of asset classes. They also allow investors to adjust portfolios as goals and risk profiles evolve.

The mutual fund industry offers a broad range of products, including small-cap, mid-cap, large-cap, flexi-cap, hybrid and

debt funds. Each category serves a purpose at different stages of an investor's life cycle. For younger investors, wealth creation should remain the primary objective. An individual in their 30s investing ₹10,000–15,000/month through SIPs can typically afford greater exposure to equities, particularly mid-cap and small-cap funds. While these segments can be volatile, they have the potential to deliver stronger long-term returns, though outcomes vary. With retirement still decades away, younger investors have time to recover from downturns and benefit from compounding.

As investors move into their late-40s and early-50s, preserving accumulated wealth becomes increasingly important. Although equities should continue to

of market stress. The goal is not only to maximise returns but also to reduce the risk of substantial losses before retirement. As retirement approaches, focus should shift towards capital preservation and income generation. Near retirement, many investors consider increasing allocations to hybrid and debt mutual funds depending on goals and risk appetite. These investments generally offer lower returns than equities but may provide greater stability and predictable cash flows.

The success of retirement planning should not be measured solely by the size of retirement corpus. The more important metric is the income it can generate. A well-structured retirement portfolio should produce sustainable monthly cash flows through instruments such as SWPs.

Ideally, this income should align with actual spending requirements, helping maintain living standards.

Retirement planning involves aligning investments with financial objectives, risk tolerance and income needs across life stages. Inflation, healthcare needs, family responsibilities and market conditions can alter retirement requirements. Investors who periodically reassess and rebalance portfolios are more likely to remain on track than those who adopt a passive “set-and-forget” approach.

In an uncertain financial environment, retirement planning requires adaptability. By combining equity growth during the accumulation phase with hybrid and debt funds during retirement, investors can build portfolios capable of delivering long-term appreciation and

dependable post-retirement income. Retirement should ultimately be a period of financial independence and security rather than compromise.



Pratik Patel & Manish Patel
Partner of Akshar Invest (Borsad, Gujarat)

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form a significant part of the portfolio, allocations can gradually shift towards large-cap and flexi-cap funds, which tend to provide greater stability during periods